CITY OF LANTERN BAY

Department of Housing and Community Development
100 Harbor Street, Lantern Bay · Bayside County

STAFF SUMMARY

To: Mayor and City Council

From: Housing Director

Date: February 3, 2025

Subject: Harbor Walk tax request

Item type: Information and recommendation

1. Request

Harbor Walk is a proposed building of 120 homes on the Old Ferry lot. The owner, Harbor Walk Partners, has asked the City for help with property taxes.

The request was received on January 14, 2025 and is scheduled for Council discussion on March 11, 2025.

2. Affordable homes described by the developer

The developer has agreed to set aside 12 of the 120 homes as affordable homes.

These homes would serve households at or below 60 percent of area median income.

Rent levels for these homes were not described in the request.

3. Site

The Old Ferry lot is a 2.4-acre parcel zoned for mixed residential use. The site has been vacant since the ferry terminal closed.

4. Length of the income limits

Staff understands that the income limits would last for 30 years.

5. Written terms

The written terms are still being prepared and are not attached to this summary.

Reporting and enforcement provisions have not yet been proposed.

6. Fiscal note

The request is for a 50 percent reduction in property taxes on the new building for 20 years. Staff estimates the reduction at about $270,000 per year, based on a projected taxable value of $45 million.

7. Recommendation

Staff recommends that the Council support the request for a 20-year property tax reduction.

Prepared by: Housing Program Manager
Reviewed by: Housing Director
Attachments: none